

EXHIBIT I

DECLARATION OF CONDOMINIUM
ESTABLISHING
GATEHOUSE DOCK CONDOMINIUM

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DECLARATION OF CONDOMINIUM
ESTABLISHING
GATEHOUSE DOCK CONDOMINIUM

GATEHOUSE DEVELOPMENT CORP., a Florida corporation (hereinafter referred to as "Developer"), having its principal place of business at 1st Bank Plaza, Suite 300, Lake Zurich, Illinois 60047, does hereby make, declare and establish this Declaration of Condominium as used for the plan of ownership of Gatehouse Dock Condominium being the property and improvements hereinafter described.

ARTICLE I

DEFINITIONS

The terms used herein and in the By-Laws, annexed hereto as Exhibit E, shall have the meanings stated as follows, unless the context otherwise requires:

A. "ASSESSMENT" means a share of the funds required for the payment of common expenses, which from time to time are assessed against the Dock Owner.

B. "ASSIGNS" means any person to whom rights of a Dock Owner have been validly transferred by lease, mortgage or otherwise.

C. "ASSOCIATION" or "CONDOMINIUM ASSOCIATION" means Gatehouse Dock Condominium Association, Inc., the entity responsible for the operation of the Condominium.

D. "BOARD OF ADMINISTRATION" or "BOARD" or "ADMINISTRATORS" means the board of directors responsible for administration of the Association.

E. "BOATS, SHIPS, OR VESSELS" means any vehicle capable of navigation on water.

F. "BY-LAWS" means the governing regulations adopted by the Gatehouse Dock Condominium Association, Inc., existing from time to time pursuant to the Florida Condominium Act, Florida Statutes, §§ 718.101, et seq.

G. "CLUB" means the Ocean Reef Club, an unincorporated association, the membership of which is composed of all property Owners in the Complex plus certain other individuals who are not Owners of property in the Complex.

H. "COMMON ELEMENTS" means the portions of the Condominium property not included in the Docks, and includes the following:

1. All items provided for in the Florida Condominium Act FS 718 et. seq.
2. All Condominium Property not included in the Docks or designated as Limited Common Elements.

I. "COMMON EXPENSES" means all expenses and assessments properly incurred by the Association for the Condominium, including:

1. all expenses of operation, maintenance, repair or replacement of the common elements;
2. costs of carrying out the powers and duties of the Association; and
3. any other expenses designated as common by the Condominium Act, the Declaration or the By-Laws.

J. "COMMON INTEREST" means the proportionate undivided interest in fee simple in the common elements and the common surplus appurtenant to each Dock as expressed in the Declaration.

K. "COMMON RECEIPTS" means:

1. funds collected from Dock Owners for payment of common expenses or otherwise; and
2. receipts designated as common by law, the Declaration or the By-Laws.

L. "COMMON SURPLUS" means the excess of all common receipts over all common expenses.

M. "CONDOMINIUM" means that form of ownership of real property created pursuant to the Florida Condominium Act and under a Declaration providing for ownership by one or more Owners of Docks of improvements together with an undivided interest in common elements appurtenant to each such Dock.

N. "CONDOMINIUM PROPERTY" means the lands, leaseholds and personal property that are subjected to condominium ownership, whether or not contiguous, and all improvements thereon and all easements and rights appurtenant thereto intended for use in connection with the Condominium.

O. "DECLARATION OF CONDOMINIUM" or "DECLARATION" means the instrument by which the Condominium is created, as it may be amended or supplemented from time to time.

P. "DEVELOPER" means Gatehouse Development Corp., a Florida corporation, its successors and assigns, which corporation is the successor Developer to Ocean Reef Club, Inc., which originally created the Condominium and offered Docks for sale or lease in the ordinary course of business.

Q. "INSTITUTIONAL LENDER" means a bank, savings and loan association, insurance company, FHA approved mortgage lender, or business trust.

R. "LIMITED COMMON ELEMENTS" means those common elements which are for the use of one or more specified Docks to the exclusion of other Docks.

S. "MAJORITY" or "MAJORITY OF THE SLIP OWNERS" means the Owners of more than 50% of the aggregate in interest of the undivided ownership of the common elements.

T. "MANAGING AGENT" means the entity employed by the Association to assist in the supervision and operation of the Condominium, as more particularly set forth in the Renewable Management Contract, Exhibit III to the Prospectus.

U. "MEMBER OF THE ASSOCIATION" means the Owner or Co-owner of a Dock.

V. "OCEAN REEF COMPLEX" or "COMPLEX": means those properties located in North Key Largo, Monroe County, Florida, designated on the Master Plan of the Ocean Reef Club, as such Master Plan may be amended from time to time.

W. "OCEAN REEF IMPROVEMENT ASSOCIATION, INC. - ORIA" means the entity made up of all property owners in the Complex.

X. "PERSON" means an individual, firm, corporation, partnership, association, trust or other legal entity, or any combination thereof.

Y. "RULES AND REGULATIONS" means guidelines adopted by the Association concerning the use of the Condominium.

Z. "DOCK" means a part of the Condominium property, which is subject to exclusive ownership and which includes a proportionate undivided interest in the common elements and common surplus appurtenant thereto as set forth in the Declaration of Condominium or any amendment thereof.

AA. "DOCK OWNER" or "OWNER OF DOCK" means the Owner of a Condominium Parcel.

BB. "DOCK DEED" or "WARRANTY DEED" means a deed of conveyance of a Dock in recordable form.

ARTICLE II

CREATION OF CONDOMINIUM

A. In General. Developer, Gatehouse Development Corp., is the Owner of the fee simple title to the Condominium property situated in the County of Monroe and State of Florida, which property is more particularly described in Exhibit A attached hereto, and on which property Developer has the sole and exclusive right to construct condominiums and other appurtenant improvements. Developer does hereby submit the above described property and improvements to condominium ownership, and hereby declares the same to be a Condominium to be known and identified as "Gatehouse Dock Condominium".

ARTICLE III

DESCRIPTION OF CONDOMINIUM

The Condominium property is described and established as follows:

A. Survey and Plans. Annexed hereto and made a part hereof as Exhibit B, consisting of 6 pages, is a survey of the land, graphic description, and plot plans of the improvements constituting the Condominium, identifying the Docks, limited common elements and common elements and their respective locations and approximate dimensions. Each Dock is identified by specific alpha-numeric designation on Exhibit B.

B. Limits of Docks. The boundaries of each Dock are described as follows:

1. Upper and Lower Boundaries. The upper and lower boundaries of the Dock shall be the following boundaries extended to an intersection with the perimeter boundaries:
 - (a) Upper Boundaries. The upper boundaries are unlimited.
 - (b) Lower Boundaries. The horizontal plane adjoining but not including the upper surface of the wooden decking of the Dock.
2. Perimeter Boundaries. The perimeter boundaries of the Dock shall be those as shown on EXHIBIT "B".

C. Description of Appurtenances Undivided Interests. Each Dock Owner shall have an undivided share of the common elements, ownership of Common Surplus and liability for common expenses, which share and interest shall be appurtenant to the Dock, as set forth in Exhibit "C" attached hereto.

D. Limited Common Elements.

1. Supports. Fixed pilings, or other supports (herein "Fixed Pilings") situated so as to be adjacent to or capable of being used by more than one Dock shall hereby be assigned to and hereby declared to be a Limited Common Element of each such adjacent Dock. The right to the adjacent and contiguous Dock Owners' exclusive use of any Fixed Pilings shall pass as an appurtenance to the Dock to which the Fixed Piling is adjacent and/or to which an adjacent Dock is capable of using. A Dock Owner shall not transfer or assign use of the designated Fixed Pilings except in connection with the conveyance of the Dock, at which time the use of the Fixed Pilings shall pass as an appurtenance to the Dock.
2. Riparian Rights. Developer hereby grants to each Dock Owner all right, title and interest of Developer in and to the waters of Dispatch Creek which are adjacent to and abut each Dock. To the extent Developer has and can convey riparian rights, those rights are hereby declared in and to

the waters of Dispatch Creek, to be a Limited Common Element to each Dock to which the waters of Dispatch Creek abut. Each Dock owner is hereby granted the exclusive use of the waters of Dispatch Creek which abut and are adjacent to his Lock.

3. Parking Spaces. There are forty (40) numbered parking spaces shown on Exhibit "B". The twenty-eight (28) spaces bearing the same alpha-numeric designation as Docks, are hereby declared to be a limited common element for the Dock with the same alpha-numeric designation. The twelve (12) parking spaces bearing the designation "V" are hereby declared to be a common element for use of all Dock owners, their invitees and guests.

ARTICLE IV

OWNERSHIP OF DOCKS AND COMMON ELEMENTS

A. Fee Simple. Each Dock shall be conveyed as individual property in fee simple ownership. Included in the fee title to each Dock shall be the undivided interest in the common elements, common surplus and common expenses as more particularly set forth on Exhibit "C".

ARTICLE V

MAINTENANCE, ALTERATION AND IMPROVEMENT

Responsibility for the maintenance of the Condominium Property, and restrictions upon its alteration and improvement shall be as follows:

A. Docks and Fixed Pilings.

1. By The Association. The Association shall maintain, repair and replace at the Association's expense:
 - (a) All Common Elements, Limited Common Elements, pilings and supports, except as otherwise provided in these Condominium Documents.
 - (b) All conduits, ducts, plumbing, electrical cable t.v., and telephone wiring, cable T.V. wiring, and other facilities for the furnishing of utility services that service part or parts of the Condominium Property, including Docks.
2. By The Dock Owner. The responsibility of the Dock Owner for maintenance, repair and replacement shall be as follows:
 - (a) To not paint or otherwise decorate or change the appearance of any portion of the Condominium Property, Dock, Common elements or Limited Common Elements without the prior written approval of the Board.
 - (b) To promptly report to an officer and/or managing Agent of the Association any defect or need for repairs for which the Association is responsible.
 - (c) To repair and replace at his expense any portion of the Condominium Property which he negligently abuses or damages. Such repairs may be made by the Board and assessed to the Dock Owner upon notice to the Dock Owner.

B. Alteration and Improvement. Except as provided in paragraph 2(c), the cost of any alternation or improvement shall be a Common Expense and

so assessed. Any alteration or improvement shall not interfere with the rights of any Dock Owner without his consent.

C. Association's Access to Docks. The Association, the Developer, and their employees have the irrevocable right of access to each Dock during reasonable hours, when necessary for the maintenance, repair, or replacement of any Common Elements or Limited Common Elements, or when necessary for maintaining the Condominium Property or for making emergency repairs necessary to prevent damage to the Common Elements, Limited Common Elements or to another Dock or Docks.

D. Ownership and Conveyance of Undivided Interest in the Common Elements and in the Common Surplus. The undivided interest of each Dock Owner in the common elements and in the common surplus is deemed to be conveyed or encumbered with his respective Dock, even though the description in the instrument of conveyance or encumbrance may refer only to the fee title to the Dock. Each Dock Owner shall own his undivided interest as a tenant-in-common with all other Dock Owners in the Condominium and, to the extent any Docks are not sold, with Developer.

E. Change of Undivided Interest. The undivided interest appurtenant to each Dock as set forth in Exhibit "C" shall not be changed except with the unanimous consent of all of the Dock Owners.

F. Voting Rights of Dock Owners. On all matters on which the Dock Owners shall be entitled to vote, there shall be only one (1) vote for each Dock in the Condominium, which vote may be cast as set forth in the By-Laws. Should any person own more than one Dock, such person shall be entitled to cast one (1) vote for each Dock he owns.

G. Distribution of Common Surplus. The common surplus shall be held and distributed by the Association in the manner and subject to the terms, provisions and conditions hereof. Except for distribution of any insurance indemnity herein provided, or termination of the Condominium, any distribution of common surplus which may be made from time to time shall be made to the then Dock Owners in accordance with their respective interest in the Common Surplus.

ARTICLE VI

UTILIZATION

A. Boat Dockage. All Docks shall be used for boat dockage purposes only. Developer or its designees may lease out Docks or utilize Docks it owns in connection with the operation of Ocean Reef Club, without violating the spirit and intent hereof.

B. By Corporations. Whenever any Dock is owned by a corporation (other than Developer, its successors or assigns), such corporation shall permit use thereof only by its principal officers, directors or other guests; provided, however, that such corporate member shall deliver to the Association and managing Agent, from time to time, a written statement designating the name of the person(s) entitled to use such Dock and the dates of such use together with a written covenant by such person(s) to the Association, agreeing to comply with the provisions of this Declaration, the By-Laws and the Rules and Regulations, and acknowledging that the right of such person(s) to use such Dock shall exist only so long as the corporation shall continue to be a member of the Association. Upon demand by the Association to any corporate member to remove any person(s) using such corporate member's Dock for failure of such user to comply with the provisions of this Declaration, the By-Laws and/or the Rules and Regulations or for any other reason, the corporate member shall forthwith cause such user to be removed; failing which, the Association, as agent of the Owner, may take such action as it may deem appropriate to accomplish such removal. All such action by the Association shall be at the cost and expense of the Owner who shall reimburse the Association therefor upon demand, together with any attorneys' fees the Association may have incurred for such removal.

C. Use of Common Elements. Use of the common elements by Dock Owners and other authorized parties shall be subject to the Rules and Regulations, all laws, zoning ordinances and regulations of governmental authorities having jurisdiction over the Condominium.

ARTICLE VII

EASEMENTS AND LICENSES

A. Roadway Easements and Licenses. Each Dock Owner shall have a non-exclusive easement for ingress and egress to his Dock in, upon, over, across and through all roadways included within the Complex and over all other Docks within the Condominium Property. Such easement shall run with each Dock. Each Dock Owner and his family, guests, and invitees shall have an easement for pedestrian traffic over, through and across the Common Elements as may be from time to time necessary for the purpose of going from one portion of the Condominium Property to another. Each member of the Club and ORIA who does not own a Dock shall have a non-exclusive license during his tenure as a member in good standing, for the reasonable ingress and egress to and across the Common Elements and the Docks.

Nothing contained herein shall be construed to allow any person or entity to enter upon the Condominium Property unless it is upon an area specifically designated for such traffic and necessary for such ingress and egress as described above.

B. Utilities Easements. Developer hereby reserves easements through the Condominium Property as may be required for utility services, to be provided by Developer, or other utility companies to serve this Condominium and any other Condominiums in the Complex. This reservation of easement in favor of Developer and other utility companies includes the right to install and maintain all necessary equipment upon the Condominium Property and to enter upon the Condominium Property to service the same.

C. Employees' Easements. Easements of ingress, egress, passage and entry are granted to employees of the Association and of Developer.

D. Carpath Easements. Developer reserves for the benefit of Club members and O.R.I.A. members, their guests and invitees, an easement of ingress and egress over those portions of the golf cart path which is within the condominium property and which is more specifically shown on Exhibit B.

ARTICLE VIII

RESTRICTIONS CONCERNING DOCKS AND COMMON ELEMENTS

A. General Restrictions. The Docks, Limited Common Elements, and the Common Elements shall be subject to the restrictions, easements, conditions and covenants prescribed and established herein, governing the use of the Docks, Limited Common Elements and Common Elements and setting forth the obligations and responsibilities incident to ownership of each Dock. The Docks, Limited Common Elements, and the Common Elements further shall be subject to the restrictions, easements, conditions, and limitations now of record affecting the land and improvements of the Condominium. Notwithstanding anything herein to the contrary, the Association shall have the right to establish the Rules and Regulations concerning the use of the Condominium property, and impose and collect fines for violation of the Rules and Regulations.

B. Prohibition of Subdivision of Docks. No Dock shall ever be subdivided or broken into smaller parts than as shown in Exhibit B, nor shall any Dock or portion thereof be added to or incorporated into any other Dock, except as provided in paragraph C of this Article.

C. Connection of Docks. The foregoing shall not prevent a Dock from being subdivided and joined with the two Docks to which it is adjacent. The interest in the common elements, common expenses and common surplus of the two Docks to which the subdivided Dock is joined, shall increase proportionately

based on the length of the subdivided Dock which is joined. The adjacent two Docks to which the subdivided Dock is joined shall have no increase in voting rights as a result of such subdivision.

D. Prohibition of Separation of Common Elements or Easements from Docks. Any attempt to separate the fee title to a Dock from the undivided interest in the common elements and/or in the common surplus appurtenant to such Dock or from the easements appurtenant to such Dock shall be null and void.

E. Utilities. Electricity and water shall be supplied and charged to the Condominium Association.

ARTICLE IX

CONDOMINIUM ASSOCIATION

A. Incorporation. Developer shall create a Condominium Association to be known as Gatehouse Lock Condominium Association, Inc., which shall be a non-profit Florida corporation and which shall operate the Condominium and undertake and perform all acts and duties incident thereto in accordance with the terms of its Articles of Incorporation and By-Laws, copies of which are annexed hereto as Exhibits D and E, respectively.

B. Automatic Membership. Every Dock Owner automatically shall be a member of the Association upon becoming the Owner of such Dock and shall remain a member until his ownership ceases for any reason, at which time his membership shall cease automatically. Other than as an incident to a lawful transfer of title to a Dock, membership in the Association shall not be transferable and any attempted transfer shall be null and void. No person, firm or corporation holding any lien, mortgage or other encumbrance upon any Dock shall be entitled, by virtue of such lien, mortgage or other encumbrance to membership in the Association, or to any of the rights or privileges of such membership.

C. Operation. The Condominium shall be operated by the Association. The Association shall have the authority and power to: (1) enforce the provisions of this Declaration; (2) levy and collect assessments; (3) impose and collect fines; and (4) adopt, promulgate and enforce the Rules and Regulations governing the use of the Docks, Common Elements, and Limited Common Elements.

D. Developer's Representation on Board. Developer shall have the right to elect Administrators to the Board and to remove and replace any person(s) elected by it to act and serve on the Board of Administration, all as is set forth in the Articles of Incorporation and By-Laws. The Administrators elected by Developer need not reside in the Condominium. No Administrator selected by Developer shall be required to disqualify himself from voting upon any contract or lease between Developer and the Association where Developer may have a pecuniary or other interest. Developer shall not be required to disqualify itself in any vote which may come before the membership of the Association upon any contract or lease between Developer and the Association where Developer may have a pecuniary or other interest.

All rights in favor of Developer reserved in this Declaration, the Articles of Incorporation and By-Laws of the Association, are assignable to and may be exercised by Developer's successors and assigns.

E. Assessments. The Board shall have the power to fix, determine and collect from all Dock Owners, as provided in the By-Laws, the sums necessary and adequate to provide for the common expenses of the Condominium and such other expenses as are specifically provided for in this Declaration and the By-Laws.

1. Allocation. Unless otherwise stipulated, all assessments shall be levied in proportion to each Dock Owner's common interest. Should the Association be the Owner of any Dock(s), the assessment which otherwise would be due and payable to the Association on such Dock(s), shall be levied ratably among all of the Dock Owners excluding the Association, based upon their common interests.

2. Special Assessments. Should the Board at any time determine that the assessments levied are or may prove to be insufficient to pay the costs of operation of the Condominium, or should any emergency arise, the Board shall have the authority, subject to the provisions of paragraph 6 of this Article, to levy such additional assessment(s) as it may deem necessary.
3. Payment; Default. The assessment levied against each Dock Owner shall be payable at the main office of the Association in such installments and at such times as may be determined by the Board of Administration as provided in the By-Laws. The payment of any such assessment shall be in default if it is not paid to the Association on or before its due date.
4. Liens; Enforcement. The assessments shall be levied against each Dock Owner who is bound to pay them. Common expenses and assessments shall constitute a lien against each Dock and shall have the priority afforded to it by law. Actions to enforce such claims shall be in conformity with law. Each Dock Owner shall be liable personally to the Association for the payment of all such assessments. In the event of default in any such payment, the Dock Owner also shall be liable personally for interest on such delinquent payment and for all costs of collecting such payment and interest thereon, including reasonable attorneys' fees. No Dock Owner may exempt himself from liability for any assessment levied against him by waiver of the use or enjoyment of any of the common elements, or by abandonment of the Dock or in any other way.

Each such lien shall secure:

- (a) all advances for taxes, payments on account of superior mortgages, fines imposed by the Board, liens or encumbrances and any other payments which the Association may be required to pay in order to preserve and protect its lien; and
- (b) all costs and expenses, including reasonable attorneys' fees, which may be incurred by the Association in enforcing the lien upon the Dock.

Each lien herein granted to the Association shall be effective upon recording a notice of lien in the Public Records of Monroe County, Florida. A notice of lien shall state the description of the Dock encumbered thereby, the name of the record Owner, the amount due and the date when due. The lien shall continue in effect until all sums secured by it have been fully paid. Such lien shall include only assessments which are due and payable when the notice of lien is recorded, plus interest, costs, attorneys' fees, advances to pay taxes and prior encumbrances and interest thereon, all as above provided. Such notice of lien shall be signed and verified by an officer or agent of the Association. Upon full payment of all sums secured by such lien, the same shall be satisfied of record.

Assessments which are unpaid after the due date shall bear interest at the maximum rate of interest permitted by the laws of the State of Florida. Once interest has accrued, any subsequent payment shall be applied first to payment of interest and collection costs and then to the payment of the assessment first due.

The Association, acting through the Board, shall have the right to assign its lien rights for the recovery of any unpaid assessments to Developer or to any Dock Owner or group of Dock Owners, or to any third party.

A Dock Owner, regardless of how title is acquired, including a purchaser at a judicial sale, shall be liable for all assessments coming due while he is the Dock Owner. In a voluntary conveyance, the grantee shall be jointly and severally liable with the grantor for all unpaid assessments against the grantor for his share of the common expenses up to the time of the conveyance, without prejudice to any right the grantee may have to recover from the grantor the amounts paid by the grantee.

A lien granted to the Association may be foreclosed in the State of Florida. In any suit for the foreclosure of such lien, the Association, without notice to the Dock Owner, shall be entitled to: (a) rental payments from the Dock Owner from the date on which the payment of any assessment or installment thereof becomes delinquent; and (b) the appointment of a receiver for the Dock. The rental required to be paid shall be equal to the rental charged on a comparable Dock in the Condominium or in Ocean Reef Complex.

Where any person either obtains title to a Dock as a result of foreclosure of the first mortgage on the Dock or accepts a deed in lieu of foreclosure, such acquirer of title, his successors and assigns, shall not be liable for that share of common expenses or assessments pertaining to the Dock which became due prior to acquisition of title as a result of the foreclosure or the acceptance of such deed in lieu of foreclosure. Such unpaid share of common expenses shall be collectible from all of the Dock Owners, including such acquirer, his successors and assigns.

The title acquired by any purchaser following any such foreclosure sale shall be subject to all of the provisions of this Declaration, the By-Laws, the Rules and Regulations and applicable law. By so acquiring title to the Dock, the purchaser shall covenant and agree to abide and be bound thereby.

Institution of a suit at law to collect payment of any delinquent assessment shall not prevent the Association from thereafter seeking enforcement of the collection by foreclosure of any sums then owing to it. Proceeding by foreclosure to effect such collection shall not preclude the institution of a suit at law to collect any sum then owing to it.

5. Statement Verifying Assessment Status. Whenever any Dock may be sold, leased or mortgaged by its Owner in compliance with provisions of this Declaration, the Association, upon written request of the Dock Owner, shall furnish to the proposed purchaser, lessee or mortgagee, a statement verifying the status of payment of any assessment which shall be due and payable to the Association by the Dock Owner. Such statement shall be executed by any officer or authorized agent of the Association. Any purchaser, lessee or mortgagee may rely upon such statement in concluding the proposed transaction and the Association shall be bound by such statement.
6. Application of Proceeds in Event of Default. In the event that a Dock is to be sold, leased or mortgaged at a time when payment of any assessment by the Dock Owner shall be in default (whether or not a notice of lien has been recorded by the Association), then the rent, proceeds of such purchase or mortgage proceeds, shall be applied by the purchaser, lessee, or mortgagee first to payment of any then delinquent assessment or installments thereof due to the Association before the payment to the Dock Owner who is responsible for payment of such delinquent assessments.

7. Developer's Exemption. Developer shall be excused from the payment of its share of the common expenses and assessments related to Docks owned by it until the first day of the fourth calendar month following the month in which the purchase and sale of the first Dock occurs. Furthermore, pursuant to Section 718.116(8)(b) of the Florida Statutes, Developer guarantees that each Dock Owner's assessment will not be in excess of \$ 465 per month for a period of two (2) years from the date of conveyance of the first Dock to an Owner. In the event that any Dock Owner's assessment exceeds \$ 465 per month at any time during the two (2) year period, Developer hereby agrees to pay the amount of such excess.

F. Fiscal Year. The fiscal and accounting year of the Association shall be the calendar year.

G. Budget and Accounting. The Board shall adopt a budget for each fiscal year. Such budget shall contain estimates of all costs and expenses for the proper operation, management and maintenance of the Condominium, including a reasonable allowance for contingencies and reserves, and shall take into account the projected income which is to be applied in reduction of the amounts required to be collected as an assessment each year. Common expenses also shall include the cost of maintaining leaseholds, memberships and other possessory or use interests in lands and facilities to provide enjoyment, recreation or other use or benefit to Dock Owners, all as may be now or hereafter acquired by lease or agreement in form and content, satisfactory to the Board, including amounts which the Association may agree to pay to Developer for services or availability of service, including management.

Upon its adoption, a copy of the budget shall be mailed to each Dock Owner within sixty (60) days after the end of each fiscal year. Assessments shall be established based upon such budget, although the delivery of a copy of the budget to each Dock Owner shall not affect the liability of any Dock Owner for such assessment.

The Association shall maintain accounting records which shall be open to inspection by Dock Owners or their authorized representatives at reasonable times. Written summaries of such accounting records shall be furnished to Dock Owners or their representatives annually.

H. Reserves.

1. General Operating Reserve. Each annual budget may include a sum to be collected and maintained as a general operating reserve, which sum may be used to meet deficiencies from time to time existing as a result of delinquent payment of assessments by Dock Owners or as a result of emergencies or to pay other costs or expenses placing financial stress upon the Association. The amount to be allocated to such operating reserve and collected therefor shall not exceed ten percent (10%) of the current annual assessment levied against all of the Dock Owners. Upon accrual in the operating reserve of a sum equal to thirty percent (30%) of the current annual assessment, no further payment shall be collected, unless such operating reserve shall be reduced below the thirty percent (30%) level, in which event, contributions to such operating reserve shall be included in the annual assessment so as to restore the operating reserve to thirty percent (30%) of the current annual assessment.
2. Reserves for Capital Expenditures and Deferred Maintenance. Each annual budget may include a sum to be collected and maintained as reserves to be used for capital expenditures and deferred maintenance, all as more particularly provided for in § 718.112(f)(2) of the Florida Statutes.

I. Collections. All monies collected by the Association shall be treated as the separate property of the Association. Such monies may be applied by the Association to the payment of any expense of operating the Condominium, or to the proper undertaking of all acts and duties imposed upon it by virtue of this Declaration, the Articles of Incorporation and the By-Laws. As

monies for any assessment are paid to the Association by any Dock Owner, the same may be commingled with monies paid to the Association by the other Dock Owners. Although all funds and the common surplus shall be held for the benefit of the members of the Association, no member shall have the right to assign, hypothecate, pledge or in any manner transfer his membership interest therein, except as an appurtenance to his Dock. When a Dock Owner shall cease to be a member of the Association, the Association shall not be required to account to him for any share of the funds or assets of the Association, or for any sums which he may have paid to the Association.

J. Alterations.

1. By Dock Owners. No Dock Owner shall make or cause to be made any structural alterations to his Dock or Limited Common Elements without the prior written consent of the Board. No Dock Owner shall make or cause to be made any change to the common elements without the prior written consent of the Association.
2. By the Association. The Association, by unanimous consent of the Dock Owners and the Developer, shall have the right to make or cause to be made alterations or improvements to the common elements which do not prejudice the rights of any Dock Owner in the use and enjoyment of his Dock; provided that the making of such alterations or improvements shall be approved by the Board, and the cost thereof shall be a common expense. However, where any alterations and improvements are exclusively, or substantially exclusively, for the benefit of those Dock Owner(s) requesting the same, then the cost thereof shall be assessed against and collected solely from such Dock Owner(s) in the proportion as may be determined by the Board.

K. Prohibited Uses. No immoral, improper, offensive or unlawful use shall be made of any Dock or of the Common Elements, Limited Common Elements or any part thereof. No Dock Owner shall permit or suffer anything to be done or kept in his Dock, or on the Common Elements or Limited Common Elements which would: (1) increase the rate of insurance on the Condominium; (2) obstruct or interfere with the rights of other Dock Owners; (3) annoy other Dock Owners by unreasonable noises; or (4) interfere with the peaceful possession and proper use of any other Dock, the Common Elements or the Limited Common Elements. The Board shall have the power to levy fines for any violation of this paragraph (K).

ARTICLE X

IMPROVEMENT ASSOCIATION

A. Membership. In order to be eligible to purchase a Dock, each prospective purchaser must apply for and be approved for membership in Ocean Reef Improvement Association, Inc.(ORIA). Each successor or assign of the Dock Owner must apply and be approved for membership in ORIA before the Dock may be conveyed to him. Membership shall not be required for an institutional lender which acquires title by foreclosure proceedings or deed in lieu of foreclosure.

B. Dues and Assessments. Every member of ORIA shall be responsible for the payment of all dues and assessments levied against him by ORIA, which shall be a lien against such member's Dock.

C. Default. If any dues or assessments are not paid to ORIA on or before the due date for such payment, the member shall be deemed to be in default.

D. Remedies. Nothing herein shall restrict ORIA's remedies against a defaulting member.

ARTICLE XI

RIGHTS TO SELL, LEASE AND MORTGAGE

With the exceptions of the transfer of ownership of any Dock by Developer and such transfer by and between spouses, no Dock Owner may sell or lease his Dock or any interest therein, except by complying with the following provisions:

A. Notice of Outside Offer; Association's Right of First Refusal. Any Dock Owner who receives a bona fide written offer (hereinafter called an "outside offer") which he intends to accept for either the purchase or lease of his Dock shall: (a) give notice to the Association, by registered or certified mail, of such offer and intention, together with the name, address, business, occupation or employment, if any, of the proposed purchaser or lessee and the terms of the proposed transaction and shall enclose with such notice an executed copy of the outside offer; and (b) offer to sell or lease such Dock to the Association or its designee, on the same terms and conditions as contained in such outside offer.

The giving of such notice shall constitute a representation and warranty to the Association that such Dock Owner believes the outside offer to be bona fide. Within ten (10) days after receipt of such notice, the Association may elect, by notice to such Dock Owner sent by registered or certified mail, to purchase such Dock or to lease such Dock, or to cause the same to be purchased or leased by its designee, on the same terms and conditions as contained in the outside offer.

B. Association's Election to Purchase or Lease. In the event the Association shall elect to purchase such Dock or to lease such Dock, or to cause the same to be purchased or leased by its designee, title shall close at a place chosen by the Association within ninety (90) days after the date of the Association's notice of its election to accept such offer. If such Dock is to be sold, the Dock Owner shall convey the same to the Association or to its designee by warranty deed. If such Dock is to be leased, the Dock Owner shall execute and deliver to the Association or to its designee a lease between the Dock Owner, as landlord, and the Association or its designee, as tenant, covering such Dock, for the rental and term contained in such outside offer.

C. Association's Failure to Make Election. In the event the Association or its designee shall fail to accept such offer within ten (10) days of receiving proper notice thereof, the Dock Owner shall be free to enter into a contract on the outside offer.

D. Subsequent Offers. In the event that the Dock Owner shall not consummate the contract to sell or lease pursuant to all of the terms and conditions set forth in his notice to the Association, then should such Dock Owner thereafter elect to sell or lease such Dock to the same or another outside offeror on the same or other terms and conditions, the Dock Owner shall be required again to comply with all of the provisions of this Article.

E. Application of Condominium Documents to Grantee or Lessee. The acceptance of a deed to a Dock by an outside offeror shall constitute an assumption by the outsider offeror of the provisions of this Declaration, the By-Laws and the Rules and Regulations, as the same may be amended from time to time. Every such lease shall provide: (a) that such Dock may not be sublet without the prior written approval of the Board; (b) that the lessee shall comply with and abide by all of the provisions of this Declaration, the By-Laws and the Rules and Regulations; (c) that the lease may not be modified, amended, extended or assigned, without the prior written consent of the Association; and (d) that the Board shall have power to terminate such lease or to bring summary proceedings to evict the tenant in the name of the landlord thereunder, in the event of default by the tenant in the performance of such lease.

Should any lease not comply with such covenants, then the Association shall have the right to cancel and terminate such lease, all without any obligations to the Dock Owner, and in such respect, the Association shall be regarded as the Dock Owner's agent, fully authorized to take such steps as may be necessary to effect the cancellation and termination of such lease.